

by big corporates, hotels as well as public security systems.

In the near future, the core-sector industries are expected to become another major demand generator. The government is pumping funds into various infrastructure projects, which, in turn, is creating demands from core-sector industries, as was highlighted by Arun Ghosh, managing director of Hita Technology.

Most respondents considered small and medium businesses (SMBs) of the core sector as their potential customers. Agashe said that his organisation (APW President) had already introduced specific solutions for the SMBs. Other organisations like SLN Technology, Arrow Electronics and Bose Research are also following the trend.

Though impacted by the current slowdown, the banking, financial services and insurance (BFSI) companies are continuing to expand as per their long-term plans. Electronics is the backbone of all their lofty ambitions and visions. As a result, this sector never faces a dearth in demand. Moreover, the medical sector is also generating some demand for electronic equipment.

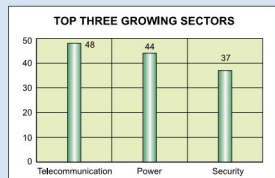
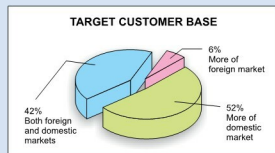
Suggestions for would-be entrepreneurs

Some of the respondents felt that the Indian electronics industry was suffering due to lack of new entrepreneurial efforts. Ghosh pointed towards the disparity between the rate of increase of entrepreneurs and the growth rate of the sector. New entrepreneurs may start their venture as a technology integrator. An ideal technology integrator can use intellectual properties to provide a market-specific solution.

Most of them believed that recession could actually be the ideal time for launching a new product or new

The Overall Market Trend

Three graphs that represent statistical analysis of trends based on the inputs from 50 firms spread all across India



business. While addressing the new entrepreneurs, they provided some tips for the existing market players as well. According to them, the best thing is to recognise the value of innovation and knowledge exchange for the future of business.

Singh said that the best step would be to enter the electronic security market of India. P. Hadilkar, director of the Cermet Resistronics, highlighted

LED as a promising sector for new ventures. Agashe advised new entrepreneurs to focus on 'green technology' ventures. The increasing density of electronic equipment packaging has resulted in high-heat loads and high power consumption in data centres. Since 'saving in power' means 'saving in cost,' deploying power-saving (green) technology has become a key business driver for data centres. And this is where most of the 'green IT' focus is directed today. New entrepreneurs were advised to study the market cycles as well as market life of five to seven products of the segment that they plan to enter.

What to expect from the government?

There is a strong demand for strategic policy-making to recognise and nurture the manufacturing. None of the executives believed in direct subsidy in the form of grant. Rather, they expected various tax incentives as well as easing of import restrictions for machinery and tools. For example, the lower limit for excise duty redemption should be increased to Rs 50 million from the existing Rs 15 million to support SMBs, according to Kale. At the same time, 'push export' policy was also suggested. Public-private joint ventures were welcomed especially in power generation, infrastructure and security sectors.

It will be a smug hindsight to say that the Indian electronics industry is expecting a support level comparable to other South Asian countries. The government-funded IP bank of Japan and investment of the Chinese government towards capital expenditure of the industry were the suggested models to be followed. ●

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